COMP396 Weekly Meeting Minutes

(Week 8)

Date & Time: Tuesday, November 11th, 2025, 18:00-21:00

Location: Sydney Jones Library / Lower Ground Study table

Note Taker: Xue Yudan

Attendees: Xue Yudan, Zhao Saria, Zhang Olivia, Wong Haw

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1. Agenda:

- Review the completion status of last week's (Week 7) final sprint tasks (G1, G2, G3).
- Compile and finalize the content of the "Future Plan" section.
- Confirm the final version of the Design Document.
- Discuss and allocate the upcoming Presentation (PowerPoint) preparation tasks.
- Arrange follow-up communication with the supervisor (including scheduling the Presentation).

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2. Discussion & Decisions:

2.1. Task Review and Final Report Compilation

We confirmed that all final sprint tasks (G1, G2, G3) assigned in Week 7 have been successfully and satisfactorily completed:

- **Report Revision & Referencing (G3):** Zhao Yixuan has successfully implemented all the supervisor's revision suggestions, including reducing the length of Part 2 (Combined Strategy) to within the required limit and adding strictly matched citation labels and formatting refinements for all references.
- **Breakdown Finalization (G2):** Zhao Yixuan has compiled and consolidated all team members' submissions for the Breakdown of Teamwork section and completed the final draft of Design Document (Part 3).
- **Future Plan (G1):** All team members have completed the first draft of their respective "Future Plan" sections, which formed the main basis for discussion in this meeting.

2.2. Finalization of "Future Plan" Sections

The team members conducted an in-depth discussion and consolidation of the G1 "Future Plan" draft relating to Data 2:

- Based on her literature review, Xue Yudan proposed that the team members must shift from static strategies to dynamic market regime filtering. The two active strategies (S1 – trend-following and S3 – mean reversion) currently share a major weakness: they perform poorly under adverse market condition. S1 tends to break down in whipsaw or sideways markets, while S3 can incur substantial losses in strong trending markets. The core improvement for the next phase is therefore to introduce a Market Regime Filter for both strategies. It is proposed to use ADX (Average Directional Index) as the common tool but applied in opposite ways: S1 (trend) will only trade when ADX is high (strong trend), whereas S3 (mean reversion) will only trade when ADX is low (sideways markets).

- Wong Haw suggested:

    - **Passive strategy (S2) must incorporate macro risk management:** Although the S2 (buy-and-hold) strategy performed well under the strong upward trend of Data 1, its lack of active risk management makes it extremely vulnerable during equity bear markets. Therefore, this passive strategy should be transformed into

a dynamic macro strategy. It was proposed to test the introduction of the 200-DMA (200-day moving average) as a macro regime filter, i.e. “only hold positions when the price is above its 200-DMA”. This would allow the strategy to systematically exit positions and protect capital during potential equity bear phases in Data 2.

- **Improvements to the CVaR portfolio strategy depend on the quality of its inputs:** The robustness of the portfolio strategy (Part 2) depends directly on the performance of its three component strategies (Part 1). Going forward, the return streams of the three enhanced strategies (S1+ADX, S2+200DMA, S3+ADX) should be used as new inputs to the CVaR optimizer. This is expected to enable the optimizer to allocate weights based on a more robust and lower-risk data foundation.
- **Order execution needs to address “high jumps” and slippage caused by market orders:** The current reliance on market orders has led to issues such as overnight gaps (“high jumps”) and higher slippage. It was therefore suggested to experiment with the limit orders in order to better control entry costs.

- Zhang Olivia suggested that Data 1 should be used for primary research and tool development (for example, initial testing of the limit order logic), while the final parameter calibration and portfolio optimization—especially the CVaR optimizer—must be carried out on Data 2, and should define new training set and test set, in order to verify whether the upgraded system achieves better risk-adjusted returns in a new market environment.

- After reviewing the Canvas requirements, Zhao Saria proposed that the “Plan” section should be divided into four separate modules (one for S1, S2, S3 and the Combined Strategy). The team members adopted Zhao Saria’s structural suggestion and, after integrating all research findings into these four modules, incorporated this structure into the Design Document as the final scheme.

2.3. Design Document Finalization

After integrating the “Future Plan” section, team members carried out a final full review of the Design Document and confirmed it as the final version, ready for submission.

2.4. Presentation (PPT) Planning

- Given that the Design Document has been finalized, we have started planning for the upcoming presentation.
- All members initially decided to reorganize the division of tasks for preparing and delivering PowerPoint to enhance the cross-understanding and peer review. The details are shown in the following Task Allocation table.

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3. Task Allocation:

All members have completed all work on the Design Document, and the focus of the next phase will now shift to the presentation.

ID	Module	Task Description	Owner	Due Date
H1	Presentation Prep	According to the allocations in Section 2.4, each team member should complete the PowerPoint slides for their assigned part of the presentation. **- S1 (Dual Moving Average):** Zhang Olivia **- S2 (Buy and Hold):** Wong Haw **- S3 (Mean Reversion):** Xue Yudan **- Combined Strategy (CVaR):** Zhao Saria	All Members	Nov. 17
H2	Project Management	Email team members' supervisor, Dr. Andrew Roxburgh, to inform him that the team members have completed the Design Document and to arrange a time for the presentation.	Zhao Saria	Nov. 17

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4. Current Challenges and Issues

- **Shift of focus:** The team members' primary challenge has moved from report writing to designing a clear, concise and professional PPT, and to presenting the strategy design process to two supervisors using precise, to-the-point language.

5. Supervisor Question

- There were no new academic issues raised this week. The only communication task (H2) is to confirm the presentation schedule with the supervisor.

6. Next Meeting Arrangement

- **Date & Time:** Thursday, November 20th, 2025, 15:00-17:00
- **Location:** Sydney Jones Library
- **Key Agenda Items:**
    - Review and rehearse each member's own section of the PPT (H1).
    - Merge all sections into the final version of the presentation slides.
    - Confirm the presentation time as replied by Dr Roxburgh (H2).